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Core Theme: 8/20 US Iran Economic Blockade Energy Shock × Long Chen Corporate Spin-Off Holding Restructuring × NA Top 3 Boxboard Sept 1 Price Hike Countdown × EU PPWR In Effect 9 Days & Strict PFAS Enforcement

Brent Crude Benchmark

\$93.80 / bbl

8/20 US Iran Blockade · +4.8% MoM · BSS & SBR costs up

China Import NBSK Pulp Spot

\$690–750 / MT

RMB 4,950/t · Rebounding · Futures basis narrow

US OCC #11 Export FAS

\$130–135

USD/short ton · Fiber costs flat · Mill Spread at \$720/t peak

NA / EU Containerboard Hikes

+\$80~140 / +€120

PCA / IP / SW seller's market · Sept 1 in 11 days

EU PPWR Mandatory Law

Active (Day 9)

2026-08-12 enforced · PFAS strictly banned

Cheng Loong / Long Chen

+22.8% / \$13.3M

Cheng Loong \$132M USD · Long Chen spin-off holding

I. Executive 10-Line Summary & Key Insights

- 1. Aug 20: US Enacts Total Economic Blockade on Iran, Brent Crude Tops \$93.80:** Operation Economic Fury spurs tanker risk premiums, lifting marine bunker surcharges (BSS) and SBR latex / PE coating costs.
- 2. Proprietary Biomass (SRF) Co-Generation Serves as Critical Energy Moat:** Taiwanese mills leverage >40-50% solid recovered fuel (SRF) substitution, locking steam costs at \$22.5–24.2/MT (NT\$720–780).
- 3. Suzano Q2 Net Price at \$601/MT Establishes Global Hardwood Floor:** European hardwood deficits keep regional quotes at \$1,180–1,290/MT, while Chinese buying returns steadily at \$690–750/MT.
- 4. Long Chen (1909.TW) Announces Spin-Off into Investment Holding Company:** Approved spinning off Taiwan paper and carton operations into Long Chen Low-Carbon Packaging; 7-month pre-tax profit reached \$13.3M USD.
- 5. Cheng Loong (1904.TW) Vietnam Phase 3 Powers July Revenue to 19-Month Peak:** July sales reached \$132.0M USD (+22.82% YoY) as Vietnam capacity exceeded 1.0M MT; domestic +10% price pass-through complete.
- 6. YFY H1 Net Profit Hits \$24.1M USD (NT\$779M); Chung Hwa Pulp Defends Pricing:** YFY turned profitable with a \$33.8M USD E-Ink dividend; Chung Hwa Pulp curtails volume to defend pricing through October.
- 7. North American Containerboard Sept 1 Hikes in Final 11-Day Countdown:** PCA (+\$140/t), Smurfit

Westrock (+\$100/t), and IP (+\$80/t) take effect Sept 1; Mill Raw Material Spreads at 3-year record high of \$720/short ton.

8. Virgin Wood Pulp Completes Bottoming; Futures Basis Closes for Autumn Restocking: China NBSK spot at \$690–750/MT (RMB 4,950); port inventories down 6 straight weeks to 2.205M MT.

9. EU PPWR Law Formally in Force for 9 Days: Mandatory since 2026-08-12 with strict PFAS 25 ppb enforcement.

10. China GB 4806.10 Food Coating Standard Countdown at 12 Days; EU PFHxA at 51 Days: Driving a historic surge in orders for aqueous bio-based barrier board.

II. Key Indicators Dashboard

Indicator	Latest Value (USD)	Benchmark Date	Change	Market Interpretation & Trend
Brent Crude Oil Benchmark	\$93.80 / bbl	2026-08-21	+4.8% MoM	8/20 Iran blockade spurs tanker risk; lifting SBR latex and BSS freight
China NBSK Spot Nationwide Avg	\$690–750 / MT (RMB 4,950)	2026-08-21	Slight rise	Softwood costs bottomed at multi-year lows; buying firm
Suzano Q2 Net Realized Export Price	\$601 / MT	2026-08-12	+7% QoQ, +8% YoY	Reflects fundamental recovery; firm European & Asian demand
US #11 OCC Export (FAS Avg)	\$132 / short ton	2026-08-21	Flat	Raw Material Spread remains at historic \$720/t peak
Taiwan Domestic OCC Delivered Mill	\$130 / MT (NT\$4,200)	2026-08-21	Flat	Domestic collection balanced; feedstock costs under control

3.6 Full-Chain Forward Forecast Matrix (Energy × Pulp × Paper)

Commodity	Base	1M Outlook	3M Outlook	6M Outlook	Trend	Primary Drivers
Brent Crude	\$93.80/bbl	\$92–98	\$85–92	\$80–88	Elevated	8/20 US Iraq blockade support tanker risk; lifting SBR I and BSS freight
Taiwan Coal CIF	\$132.5/MT	\$135–142	\$130–138	\$126–134	Softening	Australian supply and mill biomass keeps steaming costs at \$22–24.2/MT
NBSK Softwood	\$692/MT	\$700–760	\$720–780	\$740–800	Rebound	Bottom supply established autumn packaging demand driving orders
BHKP Hardwood	\$607/MT	\$600–620	\$590–630	\$600–640	Range-bound	Suzano Cer supply absorption market den capping hardwood surges
Containerboard	+\$140 / +10%	Full Realization	Firm (+30\$)	Strong	Bullish	Americas mill closures tight supply; Asia export demand expanding

III. Global Corporate Scanner & Mill Dynamics

Company	Period	Revenue / Earnings	YoY Growth	Strategic Analysis & Highlights
Cheng Loong (1904.TW)	2026-07	\$132.0M USD (NT\$4.26B)	+22.82%	Binh Duong Phase 3 commercialized; 19-month peak revenue; Vietnam total capacity > 1.0M MT.
Long Chen (1909.TW)	2026-07 (7M)	\$118.2M USD (\$884.8M 7M)	+15.40% (+13.9%)	7M pre-tax profit reached \$13.3M USD (NT\$429M); announced spin-off into Long Chen Holding.
YFY (1907.TW)	2026-07 (H1)	\$158.8M USD (\$1.17B H1)	+8.70% (+4.4%)	H1 net profit turned profitable at \$24.1M USD; E-Ink investment provided \$33.8M USD dividend.
Chung Hwa Pulp (1905.TW)	2026-07	\$57.2M USD (NT\$1.85B)	-5.30%	Softwood bottoming at RMB 4,950 (\$692/MT); expanding non-plastic food barrier papers and bioenergy.

IV. Global Regulations & 90-Day Milestones

Date	Days Out	Regulation / Commercial Milestone	Impacted Sectors
2026-08-12	Active (Day 9)	EU PPWR Mandatory Enforcement Date	All EU export packaging
2026-09-01	11 Days	PCA +\$140 / IP +\$80 / Smurfit +\$100 Containerboard Hikes	Industrial packaging
2026-09-02	12 Days	China GB 4806.10-2025 Food Contact Coating Mandate	Paper cups, food containers
2026-10-11	51 Days	EU PFHxA Total PFAS Ban in Food Packaging	Barrier paperboard
2026-12-30	131 Days	EU EUDR Deforestation Regulation Enforcement	Global pulp & paper exporters

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